



Mergers & Acquisitions (M&A)

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MERGER

ACQUISITION

Introduction



- Transactions between two companies combining in some form.
- **Merger** - two companies of similar size combine to form a new single entity
- **Acquisition** - a larger company absorbs the business of the smaller company.
- Deals can be friendly or hostile, depending on the approval of the target company's board.





Types of M&A

1

Horizontal Integration

- Involve companies that operate in similar industries that may or may not be direct competitors.
- Examples,
 - Disney & Reliance
 - Vodafone and Idea
 - Instagram acquired by Facebook

2

Vertical Integration

- Involve companies operating at different production or distribution stages along the supply chain.
- Examples,
 - eBay and PayPal
 - Google acquired Android

3

Conglomerate Integration

- Involve companies from unrelated industries.
- Diversification is a key objective.
- Examples,
 - Tata Group acquired BigBasket
 - Disney and Pixar merger

Reasons for M&A



- **Unlocking synergies**
combined company is worth more than the two companies individually
- **Higher growth**
merging with a company with the latest capabilities without having to take the risk of developing the same internally
- **Increased market share/power**
resulting entity will attain a higher market share and will gain the power to influence prices.
- **Diversification**
enables a company to diversify and reduce its market risk
- **Tax benefits**
company with the tax losses enables the acquirer to use the tax losses to lower its tax liability

Synergy



Two or more entities coming together to produce a result not independently obtainable.

MV of combined company (AB) > MV of A + MV of B

Sources of synergy:

- Revenue synergy
 - Market power or eliminate competition
 - Complementary resources
- Cost synergy - Economies of scale
- Financial synergy
 - Diversification and financing
 - Tax shields or accumulated tax losses





Stages of M&A Transaction

Phase 1

Assessment & Preliminary Review

- Information Memorandum
- Non-Disclosure Agreement

Phase 3

Due diligence

- Identify the key risks that may arise from the potential transaction,
- Determine fair pricing,
- Increase bargaining power

Phase 5

Post-closure integration/ implementation

- Aims maximising synergies to ensure the success of the deal.

Phase 2

Negotiation & Letter of Intent

- Competition/antitrust law implications,
- Employment law considerations,
- Licensing matters,
- Tax implications

Phase 4

Negotiations & Closing

- Share Purchase Agreement (SPA), or
- Assets Purchase Agreement (APA)

Legal Procedures for M&A

Intimate the stock exchanges about amalgamation proposal.

Get the draft of amalgamation proposal approved by the BODs.

Apply to the High Courts of the States where registered offices are situated.

Approval from Shareholders

Approvals from financial institutions in terms of agreements signed.

Approvals of High Courts





Forms of Compensation / Consideration

Cash

- Immediate payment in cash to the shareholders of the acquired company.
- Suitable for relatively small acquisitions, unless the bidding entity has an accumulation of cash.
- Advantages:
 - takeover can be achieved quickly and at low cost.
 - less risk compared to accepting shares in the bidding company.
 - increased liquidity to target company shareholders.
 - reduces the overall cost of the bid to the bidding company.
- Disadvantages:
 - adverse effect on gearing ratio if bidder borrows or issue new shares in order to raise the cash



Forms of Compensation / Consideration

Share Exchange

- Shareholders trade the shares of a target company for shares in the bidding company
- Large acquisitions almost always involve an exchange of shares, in whole or in part.
- Advantages:
 - does not have to raise cash to make the payment
 - gearing improves as the shareholders of the acquired company become shareholders in the post merger or acquisition company
 - can be used to finance very large acquisitions
- Disadvantages:
 - current shareholders will have a lower proportionate control and share in profits of the combined entity than before
 - volatility in the market price of both the company's shares



Forms of Compensation / Consideration

Mixed Offer

- Mixture of cash and shares are offered.
- Target shareholders receive some cash, but also maintain a stake in the larger business.
- Bidding company's shareholders see a small dilution of control while the company doesn't have to find as much cash to fund the offer.
- Reduces the disadvantages of the cash offer and share exchange individually
- Tries to deliver advantages to all shareholders no matter what their current circumstances.

Strategic Approach to M&A

- **Objective** - Achieve synergies that offer real value for both the bidder and the target
- **Bidder's strategic approach**
 - Friendly vs Hostile acquisition
 - Leverage buyouts
 - Joint ventures
 - Portfolio Restructuring
- **Target's strategic approach**
 - Pre-bid defences
 - Post-bid defences





Anti-takeover Strategies

- Tactics employed by a target company to prevent or discourage unwanted takeover attempts.
- Purpose is to protect the company from being acquired against its will, maintaining independence or bargaining for better terms.
- **Pre-bid defences**
 - Poison Pill (Shareholder rights plan)
 - Staggered Board
 - Golden Parachute
 - Shark Repellants (Supermajority provisions)
 - Dual-Class Stock
 - Fair Price Amendments



Anti-takeover Strategies

Poison Pill

- Existing shareholders get the right to purchase additional shares at a discount.
- If a potential acquirer exceeds a certain ownership threshold, a poison pill can be triggered.
- Dilutes the value of shares, making the takeover prohibitively expensive for the acquirer.
- One of the most powerful defenses against hostile takeovers.
- Netflix implemented a poison pill in 2012 to fend off Carl Icahn's potential takeover.

Staggered Board

- Board is classified into three equal groups.
- Only one group is elected each year.
- Slows down the acquirer's ability to gain control of the board.



Anti-takeover Strategies

Golden Parachute

- Additional compensations (severance packages, stock options) to top management if they are terminated after a takeover.
- Increases the cost of acquisition, deterring hostile bids.
- This may harm shareholders.
- Time Warner executives had golden parachutes in place during its merger negotiations with AOL.

Shark Repellants

- Involves a supermajority vote requirement regarding a merger of the target with its majority shareholder.
- Certain provisions in the target's bylaws deterring an acquirer's desirability of a hostile takeover.



Anti-takeover Strategies

Dual-Class Stock

- Issuing two classes of stock with different voting rights.
- Insiders hold shares with greater voting power.
- Ensures control remains with the founding team or insiders, despite potential external interest.
- Google (now Alphabet) used a dual-class stock structure to maintain control despite public investment.

Fair Price Amendments

- Clauses in a company's charter that require a potential acquirer to pay a fair price for the target's shares
- Designed to prevent two-tier takeover offers.
- Ensures all shareholders receive an equitable price for their shares in a takeover.



Anti-takeover Strategies

- Post-bid defences are reactive strategies deployed after a hostile bid has been made.
- Include several actions that can be directed at a specific bidder.
- **Post-bid defences**
 - White Knight
 - ‘Pacman’ (Counterbid)
 - Greenmail
 - Crown Jewel Defense
 - Leveraged Recapitalisation (Corporate Restructuring)
 - Litigation



Anti-takeover Strategies

White Knight

- Target company seeks out a more favorable company to acquire it instead of the hostile bidder.
- Strategic merger that does not involve a change of control.
- Relieves the target's management of the responsibility to seek the best price available.
- Often results in better terms and continued independence to some extent.
- Gillette turned to Berkshire Hathaway as a white knight during a hostile takeover attempt by P&G in 1989.

'Pacman' (Counterbid)

- Target's tender offer for the acquirer's shares.
- Bidding company is itself the subject of a takeover bid by the target company.
- Can force the original bidder to abandon its takeover attempt.



Anti-takeover Strategies

Greenmail

- Buyout by the target of its own shares from the hostile acquirer with a premium over the market price.
- Results in the acquirer's agreement not to pursue obtaining control of the target in the near future.
- Reduces the risk of acquisition, but can be costly.
- Walt Disney adopted a greenmail defense strategy to end the takeover attempt from corporate raider Saul Steinberg.

Crown Jewel Defense

- Target company sells off its most valuable assets to make itself less attractive to the acquirer.
- Can be a drastic strategy.
- Discourages the acquisition as the most desirable parts of the business are no longer available.



Anti-takeover Strategies

Leveraged Recapitalisation

- Includes a series of transactions designed to affect the equity and debt structure of a corporation.
- Company takes on significant debt with the purpose of either repurchasing shares or paying a large dividend.
- High debt to equity makes it a less attractive proposition for the bidder.

Litigation

- Suit filed against bidder for violating antitrust or securities laws.
- Delays the bidder and encourage the entry of competing bidders.
- Encourages bidder to raise the offer price and avoid legal expenses.

Leveraged Buyout (LBO)



- Acquisition of a company using a significant amount of debt to meet the purchase cost.
- Debt-to-equity ratio typically ranges from 70% to 90%.
- Assets of the acquired company are often used as collateral for the loans.
- Purpose is to buy companies with undervalued assets or to achieve high returns on equity.
- Enable buyers to make large acquisitions without needing to commit substantial amounts of capital upfront.
- High financial risk due to the large debt.
- Management Buyout (MBO)
 - management team of the target company acquires the company
 - might believe strongly in the prospects of the company
 - agree to buy out the owner's equity interest and assume control of the company

Joint Ventures (JV)



- Strategic alliance where two or more parties agree to pool their resources for a specific task.
- Partnership between two or more business entities for the sake of executing a particular project.
- Seek the development of a single enterprise or project for profit,
- Share the risks associated with its development.
- Widely used to gain entrance into foreign markets
 - foreign entity may bring new technologies or business practices,
 - domestic entity already has commercial relationships and requisite governmental documents within the country
- Forms of cooperation
 - **Equity Joint Ventures:** involves the capital participation of several companies.
 - **Contractual Joint Ventures:** collaboration based on a contract without forming a separate entity.

Portfolio Restructuring



- Involves analysing and reorganising your existing property assets to achieve specific objectives
- Objectives:
 - **Optimise Returns:** Identify underperforming assets and reallocate resources to high-yield opportunities.
 - **Risk Mitigation:** Diversify portfolio to spread risk across different sectors and locations.
 - **Capital Release:** Unlock equity tied up in existing assets to fund new investments or development projects.
 - **Strategic Alignment:** Align portfolio with changing market conditions, emerging trends, or long-term investment goals.
- Requires a thorough assessment of your current holdings, market dynamics, and investment objectives

Financial Analysis of M&A

- Serves as the foundation for assessing the viability of a potential acquisition or merger.
- Crucial for assessing the value of the target company.
- Ensures the deal is beneficial for both parties.
- Components of Financial Analysis
 - Historical Performance and Trends
 - Liquidity and Profitability Analysis
 - Capital Structure and Leverage
 - Valuation Methods





Financial Analysis of M&A

Historical Performance and Trends

- Assess the historical financial performance to understand the target's growth patterns, stability, and potential future performance.
- Key Metrics:
 - **Revenue Growth:** Analyse year-over-year revenue growth
 - **Cost Management:** Determine trends in cost of goods sold (COGS) and operating expenses.
 - **Net Income Trends:** Track profitability over several years.
- Provides a baseline for projecting future financials and assessing the sustainability of the business model.



Financial Analysis of M&A

Liquidity and Profitability Analysis

- Ensures the company can meet its short-term obligations
- Assess the company's ability to generate profits relative to sales, assets, and equity.
- Liquidity Ratios
 - Current Ratio: Measures the company's ability to pay short-term obligations.
 - Quick Ratio: Focuses on the company's ability to meet short-term liabilities without relying on inventory sales.
- Profitability Ratios
 - Gross Margin: Indicates how well the company controls production costs.
 - Operating Margin: Reflects operational efficiency.
 - Return on Assets (ROA): Measures the effectiveness of asset utilisation.



Financial Analysis of M&A

Capital Structure and Leverage

- Understand the capital structure as it influences the cost of capital and the overall risk profile of the target company.
- **Debt-to-Equity Ratio:** Indicates the proportion of debt used in financing the company's assets relative to equity.
- **Interest Coverage Ratio:** Assesses the company's ability to meet interest payments on outstanding debt.
- **Financial Leverage:** Evaluate the extent to which a company uses borrowed funds, impacting risk and return.



Financial Analysis of M&A

Valuation Methods

1

Asset Valuation

Summary of the company's assets less its liabilities are valued on some agreed basis.

2

Relative Valuation

Valuing an attribute of the company in terms of the price the market is prepared to pay per dollar of that attribute.

3

Cash Flow Valuations

Identifies future cash flows (dividends or free cash flow) and converts them to a present value.

